

Dip-Buy System (U.S. Small Caps)

Institutional-Grade Reverse Engineering → Rule-Based Playbooks

Scope note (facts vs inference): Much of Roland Wolf's "dip-buy" teaching is delivered in video/podcast form. Where I'm not quoting an explicit published rule, I label it as **INFERENCE** and convert it into testable, small-cap-safe conditions.

1) Foundations & Core Concepts

Core thesis (small-cap specific)

Dip-buying in small caps is **not** "buying red candles." It's **buying the first ****credible**** inflection** after:

- **Overcrowded short pressure + liquidity pocket + clean level**
- A failed breakdown that **cannot continue lower** (seller exhaustion / short trap)
- A reclaim of a **decision level** (PM low, prior-day H/L, VWAP, whole/half-dollar, multi-day pivot)

Terminology (operational)

- **Decision Level:** a price where order flow should *change state* (support → resistance or resistance → support). Examples: PM Low, PD Low, VWAP, multi-day pivot, round numbers.
- **Soak / Absorption:** repeated selling into a level with **limited downside progress** (prints hit the bid, but price stops accelerating down).
- **Short Trap:** breakdown attempts that fail; shorts enter late; reversal forces cover.
- **ADF (All-Day Fader):** name that cannot reclaim levels; bounces are weak; supply never resolves; typically dilution/overhang.
- **Panic Dip:** steep/fast drop, large range expansion, emotional selling.
- **Reclaim Trigger:** the actual "go" signal. **You are not long because it's down; you're long because it reclaimed.**

Why this matters in small caps

Small caps are structurally prone to:

- **Liquidity vacuums** (fast 30–200% ranges)
- **Halts** and gap risk
- **Dilution/convertible supply**
- **Crowded retail/momo + reactive shorting**

Dip-buying can create **elite R**R**** because the stop can be anchored near **LOD/PM-low/support**, but only when **a real floor forms**.

Strengths

- Best-in-class **R****:R** when executed at true inflection points
- Plays well with **VWAP/level-based execution**
- Works in **short squeeze conditions** (shorts forced to cover)

Weaknesses / When it does NOT work

- **Active dilution / toxic converts / ATM selling** → bounces are supply-funded
- **No reclaim** (weak tape, cannot hold above decision level)
- **Low true liquidity** (wide spreads, thin L2) → slippage destroys edge
- **Macro risk-off** / sector unwind → bounces fail sooner
- **Late-day dip buys** without catalysts → dead-cat bounces

2) Market Dynamics (Microstructure That Matters)

Participants

- **Retail momentum**: buys strength / sells fear → creates panic wicks
- **Short sellers**: press breakdowns; cover into reclaim/halts
- **Market makers**: widen spreads in stress; fade impulsive flow
- **Issuers**: may sell (ATM/PIPE convert) into strength/volatility

Liquidity rules (hard constraints)

- If spread is > **1-2%** of price during your intended entry window → **downgrade 1 grade**
- If L2 shows **air pockets** (no stacked bids) and tape prints are sparse → **no size**
- If halts are likely (parabolic + SSR games) → treat as **event risk**, not “normal” trade

3) Patterns, Setups & Execution Logic (Wolf-Style Dip Buys)

Canonical Roland-style dip-buy families (mapped to small-cap reality)

1. **Gap → Crap → Reversal (GCR)** (morning)
2. **Panic Dip Buy (PDB)** (intraday or multi-day)
3. **VWAP Reclaim Dip Buy (VRDB)** (trend day / squeeze day)
4. **Multi-Day Support / Prior Breakout Dip Buy (MSDB)** (swing or day-2 continuation)
5. **Short-Trap Reclaim (STR)** (microstructure-driven)

Universal confirmation stack (highest reliability)

- **Level:** PM low / PD low / VWAP / multi-day pivot
- **Behavior:** downside slows → prints stop making lower lows
- **Trigger:** reclaim + hold above level for N bars
- **Volume:** capitulation → then **deceleration** on sells and **expansion** on reclaim

Universal invalidation logic

- If price **reclaims** then fails and closes back below the level with **increasing sell pressure** → exit.
 - If a second flush makes **new LOD** with no immediate reclaim → treat as **ADF until proven otherwise**.
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4) Strategies & Tactical Playbooks

GLOBAL STRUCTURAL MODIFICATIONS (applies to all Wolf-style dip buys)

Position & risk rules (hard):

- Max per-trade loss: **0.25R–1.0R** depending on liquidity/halts
- Size scales with liquidity:
- **Tier A (liquid):** normal size
- **Tier B (moderate):** 50–70% size
- **Tier C (thin / halt risk):** 10–30% “probe only”
- **No averaging down** unless your playbook explicitly allows a *planned* add on a *second reclaim*.

Execution rules:

- Prefer **reclaim entries** over “catching knives.”
- Partial profits into:
 - VWAP
 - HOD reclaim
 - PM High
 - next daily resistance

Small-cap dilution overlay:

- If there’s **active ATM / S-1 / recent convert** risk → demand **stronger reclaim + faster follow-through** or pass.
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PLAYBOOK 1 — Gap → Crap → Reversal (GCR)

Setup Definition & Context

Morning gappers that fail to hold the spike (“crap”), then put in a **base at PM low / key support**, followed by a **reversal reclaim** back toward VWAP/HOD.

Catalysts That Work

- Legitimate PR with urgency (FDA, contract, earnings beat, major partnership)
- Sector sympathy with the *primary runner* still strong
- High short interest / high short volume *with* trapped breakdown

Catalysts That Rarely Work

- Recycled PR, vague AI/crypto buzzwords
- Low-quality “strategic alternatives” / financing hype
- Fresh dilution filing + weak tape

Rules & Filters

- Float: < **30M** preferred; avoid ultra-micro floats if halts are nonstop
- PM volume: **meaningful** (contextual, but avoid “ghost gappers”)
- Must have **clean PM low** or PD low to define risk
- **No active dilution evidence** (or trade only as scalp)

Entry / Stop / Target Logic

- **Entry (primary):** reclaim of PM low / key pivot + **hold** (1–3 min closes above)
- **Entry (secondary):** higher-low after reclaim (safer)
- **Stop:** just below LOD/PM-low (hard stop)
- **Targets:** VWAP → HOD reclaim → PM High → next daily resistance

Failure & Corrective Protocol

- If reclaim fails twice → mark as **ADF**, stop trading the name
- If bounce is weak and volume dries → **take profits earlier**, no “hope holds”

Post-Trade Questions for Learning

- Was the reversal **level-driven** or just random bounce?
- Did the tape show **absorption** at the floor?
- Did dilution risk cap the move?

Syndicate Overlay

- **Concept:** Short trap + level reclaim
- **Why This Works:** shorts press breakdown; reversal forces cover; R\ : R defined at LOD
- **Pros:** tight risk, frequent opportunities

- **Cons:** many false signals; ADFs punish greed

Mandatory Setup Schema

- **setup_name:** Gap → Crap → Reversal (GCR)
 - **instrument (ticker, float, sector, ADV):**
 - **catalyst (type, date, reliability, notes):**
 - **price_action_rules:** PM spike fails; base at PM-low/PD-low; reclaim + hold
 - **volume_metrics (RVOL, VWAP, LOD, PM low):**
 - **entry_logic:** reclaim trigger + optional HL add
 - **stop_logic:** below LOD/PM-low
 - **target_logic:** VWAP → HOD → PMH → daily level
 - **failure_cases:** ADF / dilution / reclaim fails twice
 - **historical_examples:**
 - **status (live, backtest, archived):** backtest
 - **last_updated (timestamp):** 2026-02-16
 - **notes:** tag: "Gap-Crap-Reversal" "LOD" "PM-low" "VWAP"
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PLAYBOOK 2 — Panic Dip Buy (PDB)

Setup Definition & Context

A high-emotion flush into a major level (daily support, moving average zone, prior breakout, PM low) that produces **capitulation**, then a **clean reclaim**.

Catalysts That Work

- Prior runner with known liquidity + wide audience
- Halt-down/volatility event that *reverses quickly*
- Clear technical level on daily (prior breakout, multi-day pivot)

Catalysts That Rarely Work

- Fresh offering/convert with immediate sell pressure
- "Bad news" without a prior mania (no reason for bounce buyers)

Rules & Filters

- Must have **range expansion** + **wick** (seller exhaustion)
- Must show **loss of downside momentum** (lower lows stop)
- Avoid "slow bleed" (that's distribution)

Entry / Stop / Target Logic

- **Entry:** reclaim of the panic pivot (often PM low / whole number / VWAP reclaim after flush)
- **Stop:** below panic low (tight) OR "time stop" if no follow-through within X minutes
- **Targets:** first bounce level (VWAP/whole) → next intraday resistance → partials into squeezes

Failure & Corrective Protocol

- If it reclaims but cannot hold and dumps again → **stop out immediately** (do not re-buy until a *new* base forms)

Mandatory Setup Schema

- **setup_name:** Panic Dip Buy (PDB)
 - **instrument (ticker, float, sector, ADV):**
 - **catalyst (type, date, reliability, notes):**
 - **price_action_rules:** capitulation flush + wick; reclaim pivot; HL confirmation
 - **volume_metrics (RVOL, VWAP, LOD, PM low):**
 - **entry_logic:** reclaim pivot; HL add
 - **stop_logic:** below panic low; time stop if no bounce
 - **target_logic:** VWAP/whole → intraday SR → daily level
 - **failure_cases:** second flush; dilution supply; no reclaim
 - **historical_examples:**
 - **status (live, backtest, archived):** backtest
 - **last_updated (timestamp):** 2026-02-16
 - **notes:** tag: "Panic Dip Buy" "Capitulation" "Wick"
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PLAYBOOK 3 — VWAP Reclaim Dip Buy (VRDB)

Setup Definition & Context

Trend day / squeeze day where price loses VWAP, flushes to support, then **reclaims VWAP** with expanding bids.

Filters

- Works best when:
- Primary runner
- Shorts crowded
- Strong catalyst
- VWAP respected repeatedly

Entry / Stop / Target Logic

- **Entry:** VWAP reclaim + retest hold (best)
- **Stop:** below VWAP or below retest low
- **Targets:** HOD → PMH → next daily resistance

Failure & Corrective Protocol

- Multiple VWAP failures = **chop regime** → reduce size or stop trading

Mandatory Setup Schema

- **setup_name:** VWAP Reclaim Dip Buy (VRDB)
 - **instrument (ticker, float, sector, ADV):**
 - **catalyst (type, date, reliability, notes):**
 - **price_action_rules:** lose VWAP → base → reclaim + hold
 - **volume_metrics (RVOL, VWAP, LOD, PM low):**
 - **entry_logic:** reclaim + retest hold
 - **stop_logic:** below retest low
 - **target_logic:** HOD → PMH → daily resistance
 - **failure_cases:** chop; dilution; VWAP loses again quickly
 - **historical_examples:**
 - **status (live, backtest, archived):** backtest
 - **last_updated (timestamp):** 2026-02-16
 - **notes:** tag: "VWAP Reclaim" "Trend day"
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PLAYBOOK 4 — Multi-Day Support / Prior Breakout Dip Buy (MSDB)

Setup Definition & Context

Day-2/Day-3 pullback into a **known daily level** (prior breakout, gap-fill area, moving average zone) with evidence of buyers defending.

Day Trade vs Swing Differences

- **Day trade:** entry on reclaim of intraday pivot; take quicker partials
- **Swing:** accept wider stop; require stronger daily structure + catalyst durability

Mandatory Setup Schema

- **setup_name:** Multi-Day Support Dip Buy (MSDB)
 - **instrument (ticker, float, sector, ADV):**
 - **catalyst (type, date, reliability, notes):**
 - **price_action_rules:** pullback into daily level; HL forms; reclaim of intraday pivot
 - **volume_metrics (RVOL, VWAP, LOD, PM low):**
 - **entry_logic:** reclaim pivot or daily level reclaim
 - **stop_logic:** below daily level / prior swing low
 - **target_logic:** prior highs; gap fill; measured move
 - **failure_cases:** breakdown of daily level; dilution overhang
 - **historical_examples:**
 - **status (live, backtest, archived):** backtest
 - **last_updated (timestamp):** 2026-02-16
 - **notes:** tag: "Multi-day" "Support" "Swingable"
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PLAYBOOK 5 — Short-Trap Reclaim (STR)

Setup Definition & Context

A breakdown that attracts shorts but fails because selling pressure is absorbed. A reclaim triggers forced buy-to-cover.

Tape/L2 tells (INFERENCE → test)

- Repeated bid hits with minimal downside progress
- Large prints appear on bid near support (absorption)
- Fast reclaim with widening spreads upward (urgency)

Entry / Stop / Target Logic

- **Entry:** reclaim of breakdown level + hold
- **Stop:** below trap low
- **Targets:** VWAP → HOD → PMH

Mandatory Setup Schema

- **setup_name:** Short-Trap Reclaim (STR)
 - **instrument (ticker, float, sector, ADV):**
 - **catalyst (type, date, reliability, notes):**
 - **price_action_rules:** failed breakdown; reclaim + hold; HL confirmation
 - **volume_metrics (RVOL, VWAP, LOD, PM low):**
 - **entry_logic:** reclaim trigger + HL add
 - **stop_logic:** below trap low
 - **target_logic:** VWAP → HOD/PMH
 - **failure_cases:** true breakdown continuation; hidden dilution
 - **historical_examples:**
 - **status (live, backtest, archived):** backtest
 - **last_updated (timestamp):** 2026-02-16
 - **notes:** tag: "Short Trap" "Reclaim"
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5) Risks, Failure Modes & Pitfalls (Small-Cap Reality)

The big 7 ways dip-buys die

1. **Dilution / convert supply** (ATM selling into every bounce)
2. **ADF profile** (no reclaim, no VWAP hold, bounces fade quickly)
3. **False reclaim** (one green candle, then immediate failure)
4. **Illiquidity** (spread + slippage breaks the math)

5. **Halts** (you can be right and still lose due to reopen prints)
6. **News rug-pull** (denial, clarification, offering)
7. **Market regime** (risk-off days compress bounces)

Common trader mistakes

- Buying the first red candle (“knife catching”)
- Using “hope stops” on thin names
- Oversizing into halt risk
- Holding for HOD when the setup is a **VWAP scalp**

Compliance / structural

- **PDT**, margin requirements, and liquidity constraints matter more in dip buys.
 - **SSR** (if triggered) can change short pressure but does not guarantee a bounce.
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6) Data, Metrics & Tools (Actionable)

Metrics that must be on your decision panel

- **Float / market cap** (squeeze potential vs halt risk)
- **RVOL** (relative volume vs baseline)
- **ATR / % range** (stop sizing; expected move)
- **Short interest / short volume** (crowding; squeeze fuel)
- **Spread + depth** (execution viability)
- **Dilution risk** (S-3 shelf, ATM, recent converts, warrants)

Scanner logic (platform-agnostic)

Dip-buy universe (pre-market):

- Gappers + high PM volume
- Prior day top % gainers (watch day-2 dip)
- High short interest names with catalysts

Intraday triggers:

- New LOD then rapid reclaim
- VWAP reclaim after flush
- Reclaim of PM low / PD low

TOS approximations (conceptual)

- Watchlist columns: %Change, Volume, RVOL proxy, Float (manual), Spread (bid-ask)

- Alerts on: VWAP reclaim, PM low, PD low, whole/half levels
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7) Real-World Examples & Case Studies

Because the “edge” is pattern + context, a usable case study template is more durable than single tickers.

Case study template (fill per trade):

- Catalyst quality (A/B/C)
 - Level used (PM low / PD low / VWAP / multi-day)
 - Evidence of absorption (tape)
 - Trigger type (reclaim / HL / DB)
 - Outcome + what invalidated / what expanded
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8) Current & Emerging Developments (All-Time Structural Shifts)

Structural shifts impacting dip-buys

- Increased prevalence of **ATMs / frequent small raises** → more overhead supply
- Faster social reflex (X/Discord) → more **instant over-extension** and quicker fades
- More algorithmic liquidity behavior → **sharp microstructure flips** around VWAP and whole numbers

What this means for your system

- Demand **cleaner reclaim confirmation** than in older tapes
 - Treat “reclaims without volume” as suspect
 - Use **time stops** more aggressively
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Research Gaps (What to verify next)

1. Quantify win-rate by reclaim type:
2. PM-low reclaim vs VWAP reclaim vs PD-low reclaim
3. Measure dilution overlay impact:
4. presence of active ATM / shelf / convert vs no dilution risk
5. Define ADF classifier:
6. number of failed reclaims + VWAP behavior + volume decay

Precise follow-up research prompts

- "Build a backtest schema for GCR/PDB/VRDB using 1-min bars: triggers, stops, partials, time stops."
 - "Create a hard-filter dilution risk score (0–5) using SEC filings and price/volume behavior."
 - "Design a TOS scanner + custom columns approximating: reclaim of PM low, VWAP reclaim, intraday LOD reclaim."
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HANDBOOK INTEGRATION — DURABLE SYSTEM RULES

Final Handbook Section Title

Wolf-Style Dip Buys (Small Caps): Structural Reclaim Reversal Framework

This section is written to remain valid across volatility cycles, liquidity shifts, and structural market evolution.

GLOBAL STRUCTURAL MODIFICATIONS (APPLIES TO ALL PLAYBOOKS)

1. Risk Architecture

- Maximum loss per trade: 0.25R–1R depending on liquidity tier
- Tier A (tight spread, deep book): full size
- Tier B (moderate spread/depth): 50–70% size
- Tier C (thin / halt-prone): 10–30% probe only
- No averaging down unless pre-planned second reclaim add

2. Structural Edge Requirement

All dip-buys must include: - Clear decision level - Defined invalidation - Reclaim + hold confirmation - Liquidity sufficient to exit without distortion

If one component is missing → downgrade or pass.

3. Small-Cap Dilution Risk Score (0–5)

0 = No shelf/ATM history, no convert, clean filings 1 = Shelf exists but no active behavior 2 = Historical raises but none recent 3 = Recent filing but no tape evidence 4 = Recent raise + tape compression 5 = Active ATM/convert behavior visible intraday

Trade rule: Score $\geq 4 \rightarrow$ scalp only or avoid. Score $\leq 2 \rightarrow$ full playbook allowed.

4. Small-Cap Short Interest Score

<10% = weak squeeze fuel 10–25% = moderate squeeze potential

25% = high squeeze reflexivity (requires failed breakdown)

High short interest WITHOUT failed breakdown = no edge.

5. Supply Activation Detection Checklist

- Bounce volume expands but range does not
- Reclaim fails repeatedly at same price
- Large hidden sellers on ask
- VWAP cannot hold on multiple attempts
- Form 8-K / S-1 proximity within 30 days

2+ signals = supply active $\rightarrow$ downgrade.

PLAYBOOK 1 — GAP $\rightarrow$ CRAP $\rightarrow$ REVERSAL (LONG)

1. Setup Definition & Market Context

Morning gapper fails initial breakout, flushes to PM-low/PD-low, forms base, then reclaims level. Context: Opening drive volatility. Typical instrument: Float <30M, high RVOL, catalyst-driven.

2. Catalysts That Strengthen

- FDA
- Earnings Beat
- Major Contract
- Sector Leader Running
- High Short Interest + Breakdown Failure

3. Catalysts That Weaken

- Recycled PR
- Strategic Alternatives
- ATM Filing
- Shelf Activation
- Weak Sector

4. Daily Chart Context

- Clear breakout level
- Defined PM-low
- Room to next resistance (minimum 2R potential)

5. Required Filters

- RVOL >2
- 60-day avgVol sufficient for clean exits
- Spread <2%
- Defined PM-low or PD-low

6. Dilution Risk Score

Preferred ≤ 2

7. Short Interest Score

Preferred >15% with failed breakdown

8. Supply Checklist

Must show no compression on reclaim

9. Entry Logic

- 1–3 min close above PM-low/PD-low reclaim
- Optional higher-low confirmation

10. Stop Logic

- Below LOD/PM-low
- Hard stop

11. Targets & Scaling

- VWAP partial
- HOD partial
- PMH or next daily level final

12. Failure Patterns

- Two failed reclaims → ADF classification
- Immediate rejection on reclaim → exit

13. Refined Regime Impact

- Strong in hot momentum markets
- Weak in risk-off macro
- Reduced size in chop

14. Post-Trade Review

- Was level clean?
 - Did shorts get trapped?
 - Was dilution present?
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PLAYBOOK 2 — PANIC DIP BUY (LONG)

1. Definition

High-velocity flush into major level with capitulation signature followed by reclaim.

2. Strength Catalysts

- Prior multi-day runner
- Halt-down reversal
- Clear daily breakout support

3. Weak Catalysts

- Fresh offering
- Fundamental negative catalyst

4. Daily Chart

- Prior breakout zone
- Multi-day pivot

5. Filters

- Largest 1-min volume spike of day
- Wick formation

6. Dilution Score

≤2 preferred

7. Short Interest

Optional but increases squeeze

8. Supply Checklist

Reclaim must expand range

9. Entry

Reclaim pivot or VWAP

10. Stop

Below panic low or time stop

11. Targets

VWAP → intraday resistance

12. Failure

Second flush without reclaim

13. Regime

Best in high-volatility regimes

14. Review

Was capitulation statistically extreme?

PLAYBOOK 3 — VWAP RECLAIM DIP BUY (LONG)

Definition

Loss of VWAP followed by reclaim + hold in trend environment.

Filters

Primary runner Strong catalyst Repeated VWAP respect

Entry

VWAP reclaim + retest hold

Stop

Below retest low

Targets

HOD → PMH → daily resistance

Failure

Multiple VWAP failures → chop

Regime

Performs best in momentum trend days

PLAYBOOK 4 — MULTI-DAY SUPPORT DIP (LONG / SWING)

Definition

Pullback into daily support after breakout.

Filters

Daily structure intact Catalyst durability

Entry

Daily level reclaim

Stop

Below daily pivot

Targets

Prior highs / gap fill

Failure

Daily breakdown with volume expansion

PLAYBOOK 5 — SHORT-TRAP RECLAIM (LONG)

Definition

Breakdown fails, reclaim forces cover.

Filters

High short interest Failed continuation Absorption evidence

Entry

Reclaim breakdown level

Stop

Below trap low

Targets

VWAP → HOD

Failure

True continuation breakdown

DURABLE CORE RULES (3+ Year Validity)

1. Reclaim + hold at a structural level is mandatory.
2. Defined invalidation must exist before entry.
3. Dilution risk overrides technical setup.
4. Repeated reclaim failure = structural weakness.

5. Regime and liquidity modify size, not rules.

This framework is level-driven, liquidity-driven, and supply-aware. It does not rely on oscillators or subjective oversold conditions.